

Nan Ya Plastics Corp

Surprise, NPC has PTFE CCL: Raise PT to NT\$350 as tailwinds from copper foil materialize; >40% ROE by 2027E

Taiflex's share price has outperformed Taiwan CCL names by >60% since June (EMC/TUC +11%/-15%, Taix +4%) due to industry expectations (per our conversations with investors and channel checks) that Nvidia might use a PTFE +M9/10 prepreg hybrid for the Rubin Ultra NVL576 Switch Board instead of M10 CCL. The PTFE debate has resurfaced in recent months due to Nvidia's [reported](#) pursuit of next-gen CCL with <0.0004 Df, which is more readily achieved via the PTFE route than the epoxy/glass route (Figure 12). That said, the PTFE route continues to have drawbacks, including weak mechanical stability and processing difficulties/low board yield, which increases production costs. NPC remains confident in the performance of its epoxy-based M10 samples that were previously submitted. In the event that Nvidia were to choose a PTFE hybrid, NPC has an historical track record in PTFE CCL production and has been awarded multiple patents over the past 10 years, with low-df PTFE CCL for microwave components listed in its [product catalog](#) since 2021 at least. We believe this has been largely overlooked by the investment community and even industry insiders. We outline our thoughts on the PTFE debate below and raise our FY26E/27E NP by 20%/68% to reflect accelerating tightness in the copper foil and CCL market, given recent price and processing margin hikes (nothing to do with PTFE). This results in a revised Dec-27 PT of NT\$350.

- **Surprise - NPC has a relatively unknown PTFE CCL product:** Investors we have spoken to are largely unaware that NPC has an historical track record of producing PTFE materials, although this has not been a main product for the company due to its high costs and processing difficulties. Nan Ya Plastics' [product catalog](#) has listed PTFE material for microwave/auto components (Df 0.0009 and above) since at least 2021. These are old products using low-end glass fiber cloth that fall short of Nvidia's current preference for Backplane and NVL576 with Df <0.0004. Upgrading the glass cloth would lower the Df, although challenges with board yield/processing remain. NPC owns multiple patents regarding the manufacturing of **glass cloth reinforced PTFE prepreg/CCL**, including a patent for **PTFE + PFA/FEP + inorganic filler + an impregnation aid for glass-cloth prepreg** that was filed in 2017 and granted in 2019, one patent on adding low-molecular-weight PTFE powder that was granted in 2020, one China patent and one patent granted in 2022 on **multilayer/fine-line board processing**. NPC has also commenced in-house production of low dk-1, low dk-2 and T-glass production over the past year.
- **Do not rule out M9/M10:** Our tech team believes most M10 samples have so far delivered Df 0.00043-45 (i.e., slightly short of the requirement), with PTFE-M9/10 hybrids achieving Df 0.0004 or lower ([link](#)). In the event that Nvidia were to choose PTFE for Backplane/NVL576 switch tray, we would expect both of NPC's M10 formulas to be rejected initially, but believe the company is in a good position to reformulate a PTFE-M9/10 hybrid or provide just M9 CCL, both of which would present upside risks to our base case.
- **M-series CCL is still the practical option for >90% of AI-grade CCL TAM:**

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 15 for analyst certification and important disclosures, including non-~~US~~ analyst disclosures

Overweight

1303.TW, 1303 TT

Price (01 Sep 26): NT\$234.50

▲ Price Target (Dec-27): NT\$350.00

Prior (Dec-27): NT\$300.00

Head of Asia Energy & Chemicals | Asia EV Battery

Parsley Ong ^{AC}

(65) 6882-8578

parsley.rh.ong@jpmorgan.com

J.P. Morgan Securities Singapore Private Limited/
J.P. Morgan Securities (Asia Pacific) Limited/ J.P.
Morgan Broking (Hong Kong) Limited

Michelle Wong

(852) 2800 8556

michelle.wong@jpmorgan.com

J.P. Morgan Securities (Asia Pacific) Limited/ J.P.
Morgan Broking (Hong Kong) Limited

Vicky Hsia

(852) 2800 3752

vicky.hsia@jpmorgan.com

J.P. Morgan Securities (Asia Pacific) Limited/ J.P.
Morgan Broking (Hong Kong) Limited

Jerry Tsai

(886-2) 2725-9867

jerry.tsai@jpmorgan.com

J.P. Morgan Securities (Taiwan) Limited

Josie Yu

(886-2) 2725-9877

josie.yu@jpmorgan.com

J.P. Morgan Securities (Taiwan) Limited

Gokul Hariharan

(852) 2800-8564

gokul.hariharan@jpmorgan.com

J.P. Morgan Securities (Asia Pacific) Limited/ J.P.
Morgan Broking (Hong Kong) Limited

Ankur Rudra, CFA

(65) 6801-3237

ankur.rudra@jpmorgan.com

J.P. Morgan Securities Singapore Private Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (NT\$)	10.94	13.38	22.3%
Adj. EPS - 27E (NT\$)	17.75	24.18	36.2%

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	29	45	64	56	52
Growth	18	84	96	95	90
Momentum	1	4	79	84	23
Quality	89	91	91	91	89
Low Vol	88	76	40	26	24
US	93	93	12	94	94

Price Performance



	YTD	1m	3m	12m
Abs	289.5%	47.0%	118.1%	451.8%
Rel	227.4%	38.1%	114.6%	356.7%

Company Data

Shares O/S (mn)	7,931
52-week range (NT\$)	250.00-36.70
Market cap (\$ mn)	58,711
Exchange rate	31.68
Free float (%)	65.3%
3M ADV (mn)	91.33
3M ADV (\$ mn)	504.5
Volatility (90 Day)	91
Index	TAIEX
BBG ANR (Buy Hold Sell)	7 2 1

Key Metrics (FYE Dec)

NT\$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	259,912	375,677	521,994	604,100
Adj. EBITDA	26,221	66,482	128,999	135,919
Adj. EBIT	3,704	43,350	105,200	111,537
Adj. net income	4,519	106,150	191,767	212,029
Adj. EPS	0.57	13.38	24.18	26.73
BBG EPS	0.41	11.25	14.43	19.40
Cashflow from operations	8,649	97,618	187,167	245,598
FCFF	(754)	75,854	173,480	234,524
Margins and Growth				
Revenue Growth Y/Y (%)	0.1%	44.5%	38.9%	15.7%
EBITDA margin	10.1%	17.7%	24.7%	22.5%
EBITDA Growth Y/Y (%)	13.3%	153.5%	94.0%	5.4%
EBIT margin	1.4%	11.5%	20.2%	18.5%
Net margin	1.7%	28.3%	36.7%	35.1%
Adj. EPS growth	35.3%	2249.2%	80.7%	10.6%
Ratios				
Adj. tax rate	21.6%	15.0%	20.0%	20.0%
Interest cover	10.7	25.3	44.8	63.3
Net debt/Equity	0.3	0.3	0.2	0.0
Net debt/EBITDA	4.8	1.6	0.6	0.1
ROCE	0.6%	7.0%	15.5%	15.4%
ROE	1.3%	28.5%	46.5%	46.3%
Valuation				
FCFF yield	(0.0%)	4.1%	9.3%	12.6%
Dividend yield	0.3%	4.0%	7.7%	9.1%
EV/Revenue	7.7	5.3	3.8	3.2
EV/EBITDA	76.4	30.0	15.4	14.3
Adj. P/E	411.6	17.5	9.7	8.8

Summary Investment Thesis and Valuation

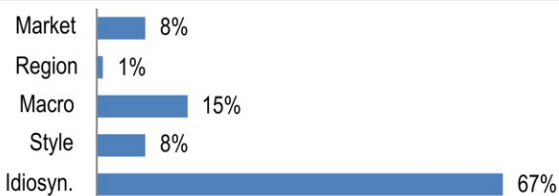
Investment Thesis

NPC is a major producer of electronic materials (CCL, copper foil, epoxy resin, glass fiber, PCB), polyester, chemicals (mainly MEG/BPA) and PVC plastics. We are OW on NPC on the back of emerging EPS positives from a multi-year PCB material supply tightness and its transition toward specialty-grade electronic materials. While we estimate that >90% of NPC's electronic materials sales are commodity-grade with lower margins as of 2025, an improving product mix, utilization uptick and price hikes on the back of tightening industry S-D in the coming years should drive OPM upside for the segment, in our view.

Valuation

Our Dec-27 PT of NT\$350 is based on a one-year forward P/B of 6x to reflect a new record-high ROE of >40% by 2028E (previously: 5x, 36% ROE). This is due to a structural improvement in electronic material margins caused by NPC's transition toward AI-grade electronic materials. We see NPC's ROE improving to >30% over the next two years. For comparison, NPC's historical 10-year average P/B and ROE are 1.6x and 9%, respectively.

Performance Drivers



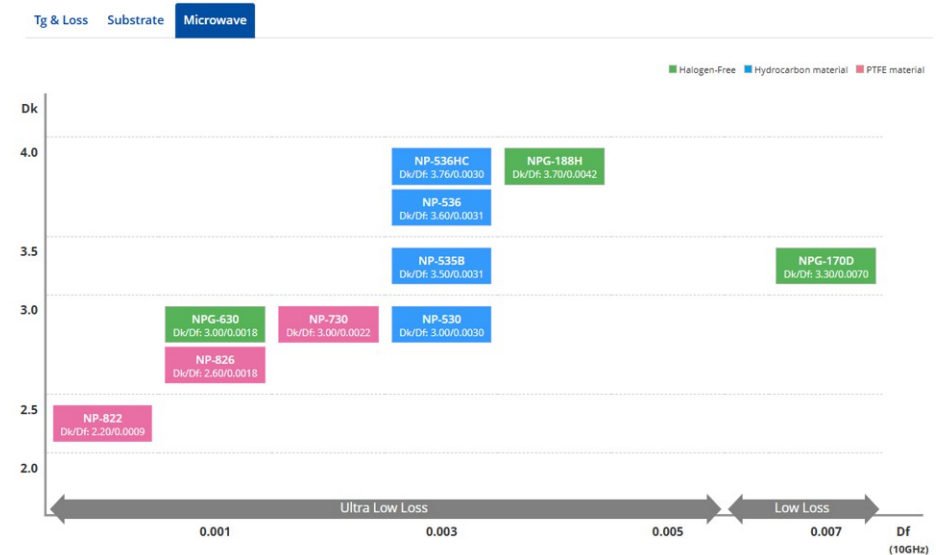
Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP		
Region: Taiwan	0.23	0.09
Macro:		
Emerging Economies CPI(YoY)	0.45	0.32
Citi Economic Surprise - EM	-0.08	-0.22
JPM China A-shares Sentiment	0.22	0.14
Quant Styles:		
Quality	-0.15	-0.20
DivYld	-0.28	-0.16
Value	-0.23	-0.13

Our tech team expects the PTFE-M9/10 hybrid (if it is selected) to affect <10% of Rubin Ultra TAM (Figure 11). It expects Google TPU v6-7 to use M7, while Google TPU v8 and AWS Tranium 2 and Tranium 3 might use M8. These represent larger and more important opportunities for NPC, and order wins here might cause M7+ to rise from <8% of NPC's CCL revenue mix in 1H26 to >50% by 2H27. As NPC is already running at >90% utilization for CCL as of 2Q26, we do not rule out the potential for the company to announce new greenfield capacity expansion upon winning a major new order.

- **About NPC's PTFE products:** NPC has listed several PTFE materials as available for sale on its website since at least 2021 (Figure 1), including NP-822, NP-826 and NP-730, which are PTFE reinforced with E-glass. While NPC now has the capability to reinforce with superior-quality glass cloth and hence lower Df further, our channel checks indicate that the company has no plans to do so at present, given high production costs and processing difficulties for PTFE. NPC views M9/M10 as a more practical/scalable + cost-effective option, and one of its M10 formulas includes a non-Q glass option to lower costs further while "still meeting customer specifications."
- **CCL sees tailwinds from the general server supercycle:** J.P. Morgan's Asia Tech Research team [raised](#) its global server shipment growth forecast to a new decade high of 22% for 2026 vs. its start-of-year forecast of 15% (Figure 1), citing an incrementally more positive outlook on general server demand due to AI inference demand. The team noted better-than-expected shipment trends YTD on counter-seasonal growth in 1Q, followed by double-digit growth qoq in 2Q, leading to the upward forecast revision, as 2H demand remains well supported by US CSPs. Into 2027, it anticipates accelerating shipment growth of 25% (vs. 8% previously) on a robust order backlog and strong server demand. This will be driven primarily by 40-50% growth from CSP customers, while enterprise-bound server shipments remain flattish/at a low-single-digit decline. We see the extension of the server upcycle continuing to support tight commodity-grade EM S-D, as capacity conversion to serve AI-grade product demand results in lower-than-usual supply growth.
- **Accelerating pace of copper foil margin hikes:** Multiple companies hiked copper foil processing fees in July-August, which came as a surprise, considering that the industry already hiked processing fees once in 1Q26. Unlike CCL and glass cloth, copper foil was historically not viewed as being in shortage, and, during our previous management call, NPC had guided to less regular processing fee hikes compared to glass cloth/CCL. **We view the hikes as an indication that copper foil is the latest product in the PCB chain to start to enter shortage**, following glass cloth (price up >100% YTD), CCL/FR4 (price >50% YTD) and PCB. We expect this to benefit NPC's copper foil division.
- **PTFE 101: Who are the key players?** PTFE is a high-performance fluoropolymer best known for extremely low dielectric loss (Df) and low dielectric constant (Dk). About 35% of PTFE resin demand typically comes from chemical processing/industrial equipment (linings/seals, gaskets, pipes), 25% from electrical insulation/electronics, 15% from autos and 15% from consumer products. **Upstream PTFE resin producers include:** Chemours, Daikin, AGC, Dongyue and Gujarat Fluorochem - these companies have seen negligible share price impacts, as PTFE resin (similar to Epoxy Resin) is not currently in shortage. **PTFE laminate/PCB fabricators include:** Taiflex, Shengyi, Taconic, Rogers, Kinwong and Wus Printed Circuit, some of which have seen a share price boost on expectations for Nvidia to adopt PTFE due to a tighter downstream market than upstream at present.
- **Raise PT to new Street high of NT\$350:** We hike our 2026E/27E electronic materials revenue by 10% to reflect recent price hike announcements by NPC and peer PCB material companies. We hike our 2026E/27E copper foil OPM from 13%/15% to 14%/20% to reflect tighter S-D fundamentals. We also hike our FY26E/27E CCL OPM from 18%/19% to 19%/26% to reflect stronger demand and NPC's accelerated pace of M7+ CCL order wins. This results in a Dec-27 PT of NT\$350, based on a 6x P/B, and

reflects our expectation for 2027 ROE to rise to a new record high of 46%. Our PT implies a 15x 2027E P/E and 5% dividend yield vs. the current 2026E/27E P/E of 18x/10x and dividend yield of 4%/8%. We remain OW on Formosa group ([J.P. Morgan upgraded Formosa to OW on 25 February 2026](#)), with a preference order of NPC (1303) > FCFC (1326) > FPCC (6505) / FPC (1301).

Figure 1: Nan Ya Plastic PTFE material product catalog



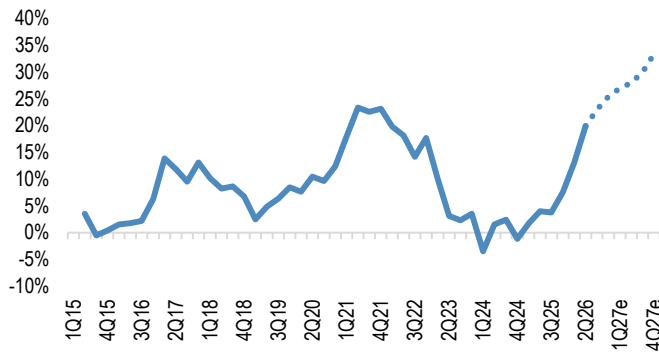
Source: Company data.

Figure 2: NPC quarterly earnings

Unit: NTD in millions	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26e	4Q26e	1Q27e	2Q27e	3Q27e	4Q27e	2024	2025	2026E	2027E	2028E
Revenue	65,552	65,716	64,177	64,467	68,596	83,647	90,693	101,923	112,840	123,000	134,684	151,470	259,608	259,912	375,677	521,994	604,100
Plastics (PVC products)	9,030	9,235	8,982	9,005	9,122	10,201	9,385	9,793	9,317	9,317	9,317	9,317	39,238	36,251	38,501	37,268	37,426
Electronic materials	28,033	29,877	29,911	32,797	36,222	43,976	54,191	61,574	67,731	77,891	89,574	106,360	108,365	120,618	195,963	341,556	420,522
Polyester	11,787	10,588	9,405	9,918	10,712	13,306	12,241	14,587	12,135	12,135	12,135	12,135	48,510	41,698	50,846	48,541	48,541
Chemicals (MEG, BPA, etc.)	15,631	14,763	14,728	11,544	11,162	14,536	13,373	14,467	22,487	22,487	22,487	22,487	58,363	56,665	53,539	89,950	92,931
Others	1,071	1,255	1,152	1,202	1,377	1,628	1,503	1,503	1,170	1,170	1,170	1,170	5,134	4,680	6,011	4,680	4,680
Operating Income	36	1,302	1,036	1,329	3,739	11,355	12,461	15,796	18,971	22,493	27,555	36,181	435	3,704	43,350	105,200	111,537
Plastics (PVC products)	697	733	757	799	855	988	909	960	960	960	960	960	3,097	2,985	3,711	3,839	3,855
Electronic materials	482	1,196	1,124	2,485	4,759	8,755	12,464	15,649	18,287	21,809	26,872	35,498	(30)	5,287	41,628	102,467	105,131
Polyester	(148)	103	(363)	(308)	(235)	711	(245)	(474)	(61)	(61)	(61)	(61)	(473)	(716)	(243)	(243)	(243)
Chemicals (MEG, BPA)	(1,477)	(827)	(1,076)	(2,024)	(1,792)	301	(669)	(522)	(450)	(450)	(450)	(450)	(3,549)	(5,403)	(2,681)	(1,799)	1,859
Others	482	97	594	377	151	600	2	183	234	234	234	234	1,390	1,551	936	936	936
OPM	0.1%	2.0%	1.6%	2.1%	5.5%	13.6%	13.7%	15.5%	16.8%	18.3%	20.5%	23.9%	0.2%	1.4%	11.5%	20.2%	18.5%
Plastics (PVC products)	7.7%	7.9%	8.4%	8.9%	9.4%	9.7%	9.7%	9.8%	10.3%	10.3%	10.3%	10.3%	7.9%	8.2%	10.0%	10.3%	10.3%
Electronic materials	1.7%	4.0%	3.8%	7.6%	13.1%	19.9%	23.0%	25.4%	27.0%	28.0%	30.0%	33.4%	0.0%	4.4%	21.2%	30%	25%
Polyester	-1.3%	1.0%	-3.9%	-3.1%	-2.2%	5.3%	-2.0%	-3.3%	-0.5%	-0.5%	-0.5%	-0.5%	-1.0%	-1.7%	-0.5%	-0.5%	-0.5%
Chemicals (MEG, BPA)	-9.5%	-5.6%	-7.3%	-17.5%	-16.0%	2.1%	-5.0%	-3.6%	-2.0%	-2.0%	-2.0%	-2.0%	-6.1%	-9.5%	-3.0%	-2.0%	2.0%
Others	45.1%	7.7%	51.6%	31.4%	11%	37%	0.1%	12.2%	20.0%	20.0%	20.0%	20.0%	27.1%	33.1%	20.0%	20.0%	20.0%
Equity Income (23% FPCC, 29.5% NYT)	436	(2,972)	2,208	3,919	12,119	19,088	23,740	34,104	27,088	28,336	31,868	67,256	1,414	3,590	89,051	154,548	187,747
Other non-OP	342	(2,524)	756	591	222	321	100	(190)	201	201	201	201	2,675	(834)	453	805	1,893
Total Non-op Income	778	(5,496)	2,964	4,510	12,341	19,409	23,840	33,914	27,289	28,538	32,069	67,458	4,089	2,755	89,504	155,353	189,641
Pre-tax Income	814	(4,194)	4,000	5,839	16,080	30,764	36,301	49,709	46,260	51,030	59,624	103,639	4,523	6,459	132,854	260,553	301,178
Tax Expense	(320)	(11)	(521)	(541)	(1,405)	(3,214)	(3,792)	(11,517)	(9,252)	(10,206)	(11,925)	(20,728)	(1,216)	(1,393)	(19,928)	(52,111)	(60,236)
Minority Interest	(41)	89	(219)	(377)	(420)	(797)	(2,779)	(2,779)	(4,169)	(4,169)	(4,169)	(4,169)	33	(547)	(6,776)	(16,675)	(28,913)
Net Income	453	(4,116)	3,260	4,922	14,255	26,753	29,729	35,413	32,839	36,655	43,531	78,742	3,340	4,519	106,150	191,767	212,029
EPS	0.06	(0.52)	0.41	0.62	1.80	3.37	3.75	4.47	4.14	4.62	5.49	9.93	0.42	0.57	13.38	24.18	26.73
Consensus													24y	25y	26y	27y	28y
Sales	66,212	68,651	66,344	67,210	87,788	79,896	87,788	91,823	94,242	98,984	103,523	109,334	253,426	264,203	326,563	381,494	570,192
OP	379	1,335	1,485	1,985	12,687	7,159	12,687	13,524	16,662	17,726	19,883	19,283	1,522	4,326	37,684	55,839	102,818
NP	1,469	(1,321)	2,990	2,239	28,507	16,571	28,507	26,702	30,314	31,421	35,070	32,277	5,396	3,447	88,658	114,412	153,847
EPS	0.15	(0.05)	0.35	0.43	3.80	2.09	3.80	3.64	3.89	3.89	4.20	3.86	0.80	0.41	11.25	14.44	19.40

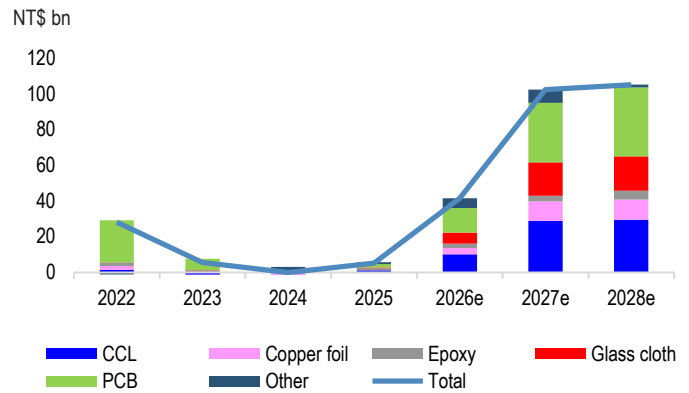
Source: Company data, J.P. Morgan estimates.

Figure 3: NPC electronic materials OPM: This cycle might be stronger than previous ones due to AI



Source: Company data, J.P. Morgan estimates.

Figure 4: NPC electronic materials OP mix



Source: Company data, J.P. Morgan estimates.

Figure 5: NPC estimate changes

bn NT\$	Current			Previous			Consensus			JPM v Cons		
	26E	27E	28E	26E	27E	28E	26E	27E	28E	26E	27E	28E
Formosa Group												
NPC												
Revenue	375.7	522.0	604.1	366.1	489.5	570.2	326.6	381.5	570.2	15%	37%	6%
OP	43.4	105.2	111.5	39.2	95.2	102.8	37.7	55.8	102.8	15%	88%	8%
NP	106.2	191.8	212.0	86.8	140.8	153.8	88.7	114.4	153.8	20%	68%	38%
DPS	9.4	18.1	21.4	7.7	13.3	15.5	7.4	9.5	15.5	26%	90%	38%
PT (NT\$/sh)			350.0			300.0						
Rating			OW			OW						
ROE%	29%	46%	46%									
DPS as % curr px	4%	8%	9%									

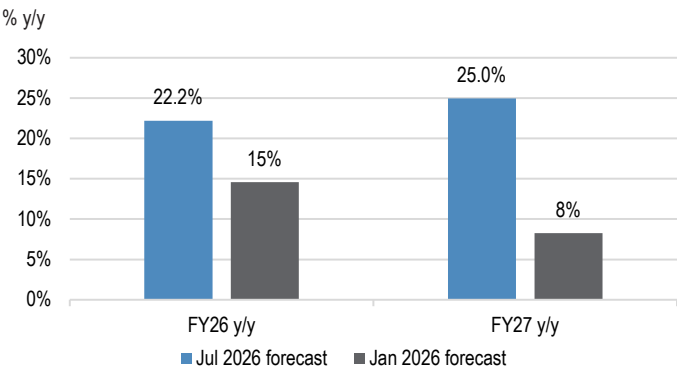
Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 6: NPC estimate change details

NT\$ mn	Revised			Previous			Change		
	2026	2027	2028	2026	2027	2028	2026	2027	2028
Total OP	43,350	105,200	111,537	39,229	95,221	102,818	4,121	9,979	8,719
Plastics/PVC	3,711	3,839	3,855	3,711	3,839	3,855	0	(0)	(0)
Electronic materials	41,628	102,467	105,131	37,749	92,731	96,654	3,879	9,736	8,477
PCB	13,679	33,250	38,548	11,885	27,374	35,000	1,794	5,876	3,548
CCL	10,226	28,786	29,501	9,246	24,511	23,514	981	4,276	5,988
Epoxy	2,359	3,201	4,956	2,388	3,239	5,034	(29)	(38)	(78)
Copper foil	3,512	10,939	11,355	3,003	8,204	10,000	509	2,735	1,355
Glass Cloth	6,278	18,798	19,203	5,532	18,407	18,794	746	390	410
Polyester	(243)	(243)	(243)	(485)	(485)	(485)	242	242	242
Chems & other	(2,681)	(1,799)	1,859	(1,746)	(864)	2,794	(935)	(935)	(935)
Non-OP	89,504	155,353	189,641	69,380	96,011	115,691	20,124	59,342	73,950
of which NYT	74,779	142,419	175,171	56,128	84,370	102,669	18,651	58,049	72,503
Other non-OP	14,725	12,935	14,469	13,252	11,641	13,022	1,472	1,293	1,447
Pretax	132,854	260,553	301,178	108,608	191,232	218,508	24,246	69,321	82,670
NP	106,150	191,767	212,029	86,778	140,747	153,830	19,372	51,020	58,199

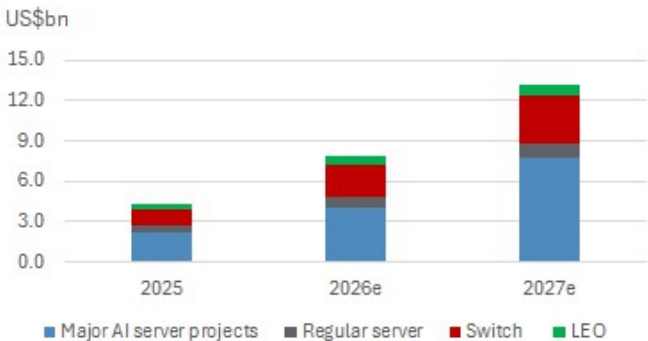
Source: Company data, J.P. Morgan estimates.

Figure 7: J.P. Morgan global server shipments, FY26E-27E y/y growth



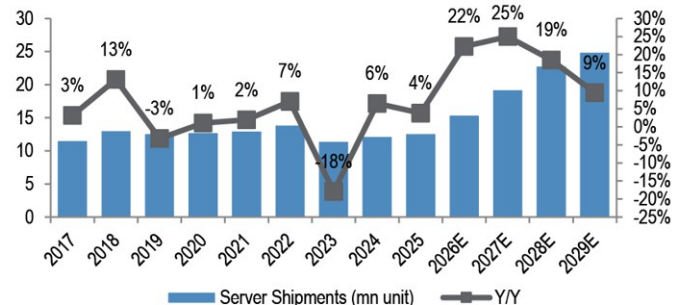
Source: J.P. Morgan estimates.

Figure 9: CCL TAM by use type



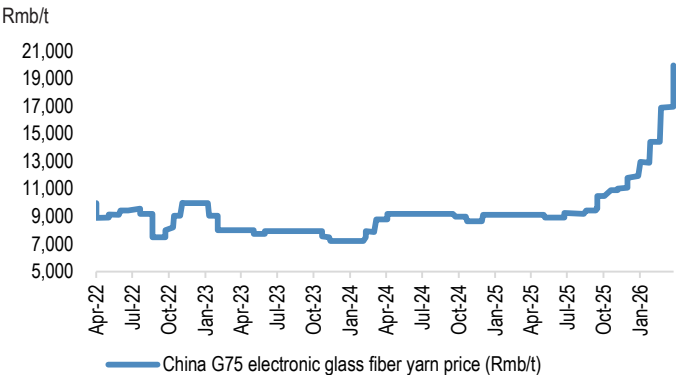
Source: J.P. Morgan estimates.

Figure 8: Server annual shipments and yoy trend



Source: Gartner®, J.P. Morgan estimates.

Figure 10: China G75 electronic glass fiber yarn price



Source: Company data, Wind, J.P. Morgan Asia Energy Research.

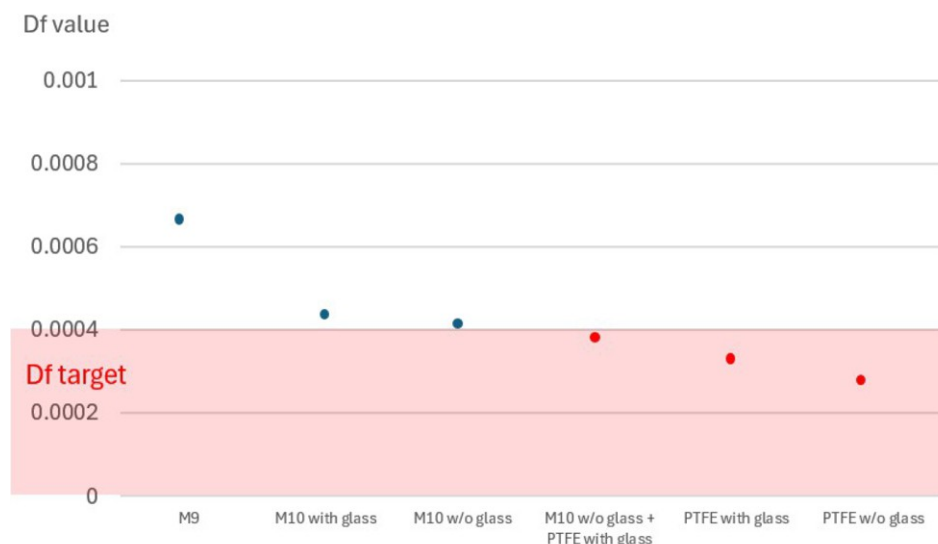
PTFE for CCL 101

Figure 11: PTFE TAM analysis by adoption scenario

Rubin Ultra	Scen 1	Scen 2	Scen 3
Chip shipment (whole gen) (mn)	10	10	10
# rack (NVK72) (K)	139	139	139
	10%	20%	40%
# rack for NVL576 cluster (K)	14	28	56
Switch tray per rack	18	18	18
# switch tray for NVL576 (K)	250	500	1,000
1 CCL sheet can cut into xxx layers	6	6	6
Layers required per board	16	16	16
# CCL sheet required per tray	2.7	2.7	2.7
ASP per CCL sheet (US\$)	300	300	300
NVL576 Switch Tray CCL TAM (US\$mn)	200	400	800
PTFE TAM (US\$mn)	100	200	400
PTFE impact of RBUltra CCL TAM	2%	5%	9%

Source: J.P. Morgan estimates.

Figure 12: CCL resin material comparison: PTFE boasts the best theoretical electrical performance, though processing difficulties and low board yields remain key bottlenecks



Source: J.P. Morgan estimates.

Figure 13: China PTFE resin export price



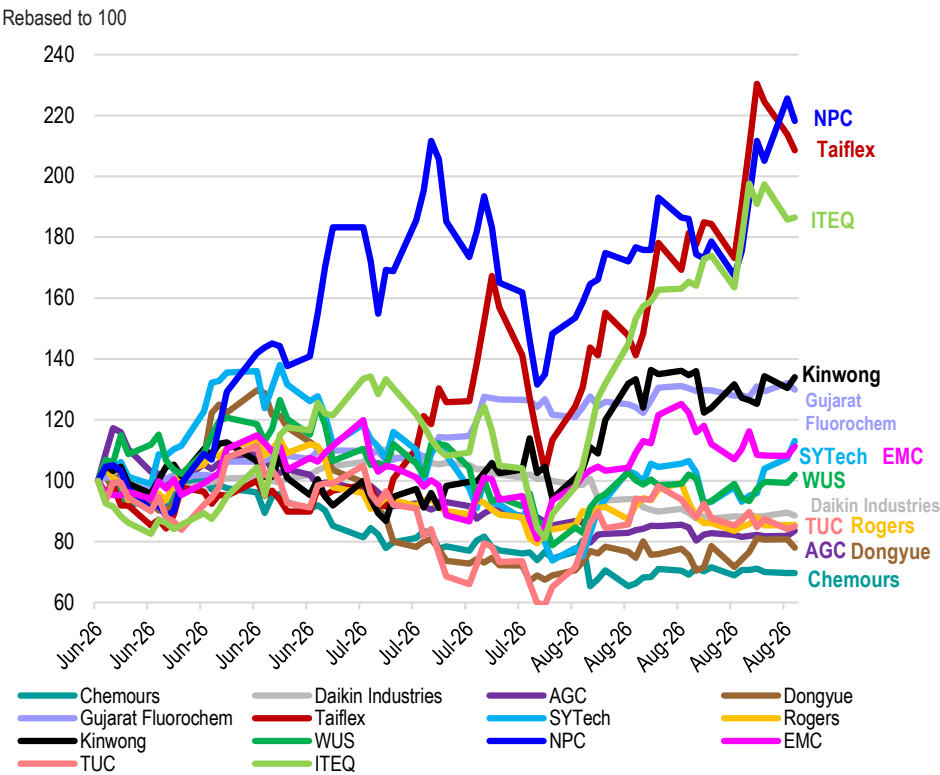
Source: Wind, J.P. Morgan.

Figure 14: Summary of pros and cons of major CCL materials

	Electrical performance	Inherent mechanical support	Processibility (drilling)	Thermal management
Glass fiber (E/low-Dk/T glass)	Worst	Best	Best	Best
M series CCL material (PPQ/Hydrocarbon/BCB)	Moderate	Moderate	Moderate	Moderate
PTFE	Best	Worst	Worst	Worst

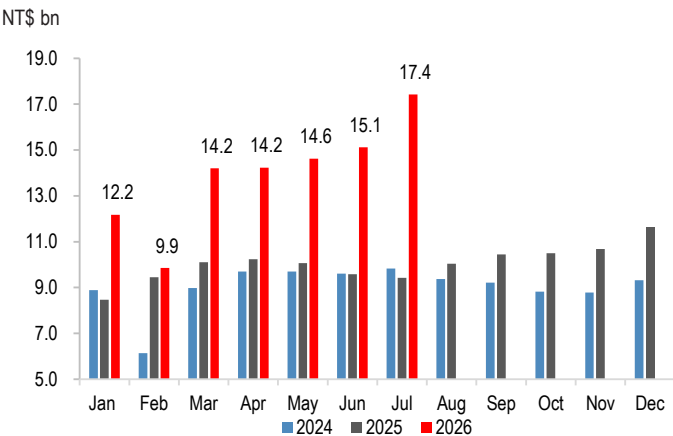
Source: J.P. Morgan estimates.

Figure 15: YTD share price performance of select PTFE supply chain companies



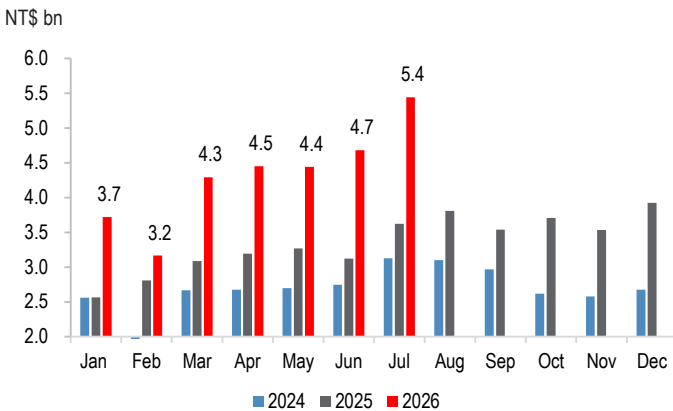
Monthly electronic materials revenue dashboard

Figure 16: NPC monthly electronic materials segment revenue



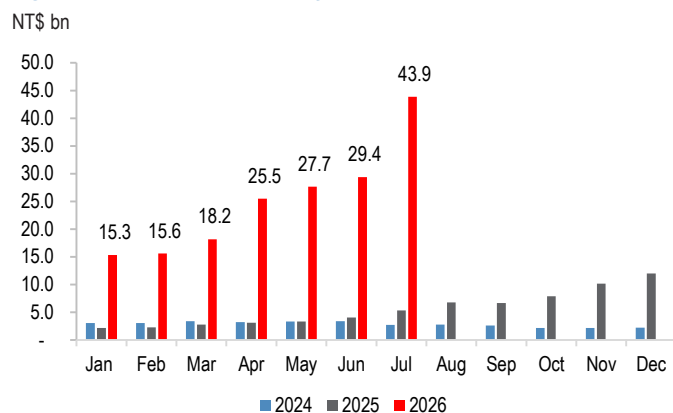
Source: Company data. Based on the company's preliminary disclosures; numbers may be restated in the audited quarterly financial statements.

Figure 17: NYPCB (8046.TT) monthly revenue



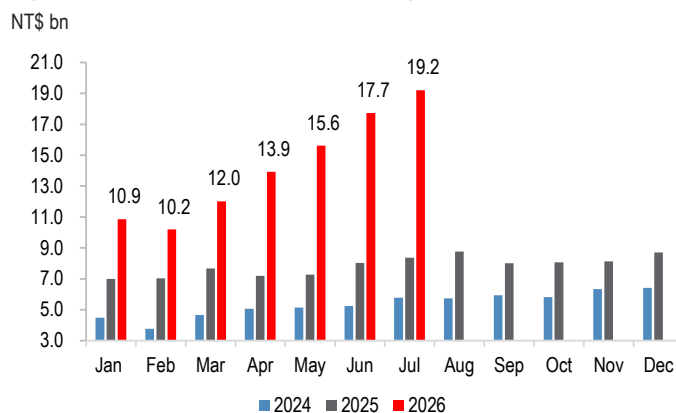
Source: Company data. NYPCB is a 67%-owned subsidiary of NPC, and revenue is consolidated into NPC.

Figure 18: NYT (2408.TT) monthly revenue



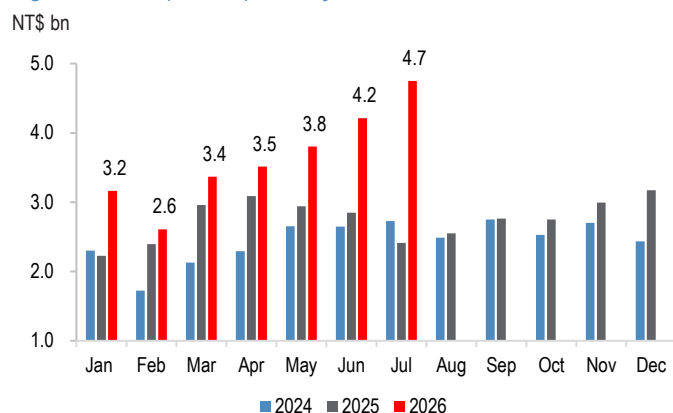
Source: Company data.

Figure 19: Elite Materials (2383.TT) monthly revenue



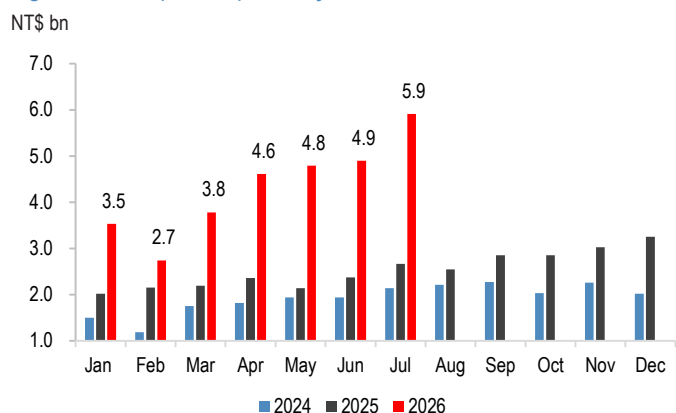
Source: Company data.

Figure 20: ITEQ (6213.TT) monthly revenue



Source: Company data.

Figure 21: TUC (6274.TT) monthly revenue



Source: Company data.

Related research

[Taiwan Energy: A rising \(AI\) tide lifts all boats: Raise NPC PT to NT\\$300 post-2Q beat; Formosa Group pre-tax could rise 50x to >NT\\$200bn in 2026](#) (13 July 2026)

[Nan Ya Plastics Corp: Blue Skies turn to reality, raise PT to NT\\$200; good progress on M9/M10 CCL and T-glass; AI-grade might form >50% of mix by 2028](#) (21 June 2026)

[Nan Ya Plastics Corp: >20% electronic materials revenue growth in 2Q26? Accumulate on dips](#) (8 June 2026)

[Nan Ya Plastics Corp: April revenue reached another 40+ month high. 2Q OPM expansion on track as price hike feeds through. Remain OW](#) (7 May 2026)

[Nan Ya Plastics Corp: 10-40% CCL price hikes across the industry into 2Q; positive management call takeaways](#) (20 April 2026)

[Asia Chemicals: China's Anti-Involution, Part 3: More policy measures crystallize, we upgrade Formosa Group to full house OW; 2026 the start of a 3-year earnings upcycle?](#) (24 February 2026)

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Investment Thesis, Valuation and Risks

Nan Ya Plastics Corp (*Overweight; Price Target: NT\$350.00*)

Investment Thesis

NPC is a major producer of electronic materials (CCL, copper foil, epoxy resin, glass fiber, PCB), polyester, chemicals (mainly MEG/BPA) and PVC plastics. We are OW on NPC on the back of emerging EPS positives from a multi-year PCB material supply tightness and its transition toward specialty-grade electronic materials. While we estimate that >90% of NPC's electronic materials sales are commodity-grade with lower margins as of 2025, an improving product mix, utilization uptick and price hikes on the back of tightening industry S-D in the coming years should drive OPM upside for the segment, in our view.

Valuation

Our Dec-27 PT of NT\$350 is based on a one-year forward P/B of 6x to reflect a record-high ROE of >40% by 2028E. This is due to a structural improvement in electronic material margins caused by NPC's transition toward AI-grade electronic materials. We see NPC's ROE improving to >30% over the next two years. For comparison, NPC's historical 10-year average P/B and ROE are 1.6x and 9%, respectively.

Risks to Rating and Price Target

Downside risks include weaker-than-expected MEG/BPA demand due to a weak macro or tariffs, a deceleration in global AI/datacenter capex, unsuccessful PCB/substrate price hikes/next-gen electronic material qualification, and a loss of electronic materials market share.

Nan Ya Plastics Corp: Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	259,608	259,912	375,677	521,994	604,100	Cash flow from operating activities	18,786	8,649	97,618	187,167	245,598
COGS	(241,034)	(238,313)	(307,860)	(384,548)	(455,880)	o/w Depreciation & amortization	22,032	21,933	22,807	23,389	23,855
Gross profit	18,574	21,599	67,817	137,446	148,220	o/w Changes in working capital	(4,244)	(6,222)	(33,869)	(42,830)	(19,010)
SG&A	(18,228)	(17,896)	(24,497)	(32,295)	(36,752)	Cash flow from investing activities	(17,900)	(11,332)	(24,000)	(15,990)	(12,792)
Adj. EBITDA	23,136	26,221	66,482	128,999	135,919	o/w Capital expenditure	(12,640)	(11,329)	(24,000)	(15,990)	(12,792)
D&A	(22,702)	(22,518)	(23,132)	(23,799)	(24,382)	as % of sales	4.9%	4.4%	6.4%	3.1%	2.1%
Adj. EBIT	435	3,704	43,350	105,200	111,537	Cash flow from financing activities	(20,112)	(16,751)	(94,887)	(152,252)	(177,651)
Net Interest	(2,063)	(2,456)	(2,631)	(2,879)	(2,148)	o/w Dividends paid	(5,615)	(5,562)	(74,305)	(143,825)	(169,623)
Adj. PBT	4,523	6,459	132,854	260,553	301,178	o/w Shares issued/(repurchased)	0	0	0	0	0
Tax	(1,216)	(1,393)	(19,928)	(52,111)	(60,236)	o/w Net debt issued/(repaid)	(9,950)	(7,554)	(20,582)	(8,426)	(8,028)
Minority Interest	33	(547)	(6,776)	(16,675)	(28,913)	Net change in cash	(13,856)	(20,295)	(21,269)	18,925	55,155
Adj. Net Income	3,340	4,519	106,150	191,767	212,029	Adj. Free cash flow to firm	7,653	(754)	75,854	173,480	234,524
Reported EPS	0.42	0.57	13.38	24.18	26.73	y/y Growth	(40.4%)	(109.8%)	(10165.7%)	128.7%	35.2%
Adj. EPS	0.42	0.57	13.38	24.18	26.73						
DPS	0.70	0.80	9.37	18.13	21.39						
Payout ratio	166.2%	140.4%	70.0%	75.0%	80.0%						
Shares outstanding	7,931	7,931	7,931	7,931	7,931						
Balance Sheet						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	66,445	46,150	24,881	43,806	98,961	Gross margin	7.2%	8.3%	18.1%	26.3%	24.5%
Accounts receivable	41,852	46,344	63,739	88,564	102,494	EBITDA margin	8.9%	10.1%	17.7%	24.7%	22.5%
Inventories	51,696	51,303	81,184	112,804	130,547	EBIT margin	0.2%	1.4%	11.5%	20.2%	18.5%
Other current assets	25,508	34,039	38,155	39,990	40,180	Net profit margin	1.3%	1.7%	28.3%	36.7%	35.1%
Current assets	185,502	177,836	207,960	285,164	372,182	ROE	0.9%	1.3%	28.5%	46.5%	46.3%
PP&E	219,151	208,547	209,741	202,341	191,278	ROA	0.5%	0.7%	16.9%	28.3%	28.2%
LT investments	170,623	184,104	184,104	184,104	184,104	ROCE	0.1%	0.6%	7.0%	15.5%	15.4%
Other non current assets	42,198	40,111	41,089	41,089	41,089	SG&A/Sales	7.0%	6.9%	6.5%	6.2%	6.1%
Total assets	617,473	610,598	642,894	712,699	788,653	Net debt/Equity	0.3	0.3	0.3	0.2	0.0
Short term borrowings	97,303	93,325	76,946	71,297	70,397	Net debt/EBITDA	4.2	4.8	1.6	0.6	0.1
Payables	43,368	41,245	54,653	68,267	80,930	Sales/Assets (x)	0.4	0.4	0.6	0.8	0.8
Other short term liabilities	0	130	0	(0)	0	Assets/Equity (x)	1.8	1.7	1.7	1.6	1.6
Current liabilities	140,671	134,700	131,599	139,565	151,328	Interest cover (x)	11.2	10.7	25.3	44.8	63.3
Long-term debt	83,336	79,759	75,556	72,779	65,651	Operating leverage	137700.7%	644032.2%	2403.4%	366.3%	38.3%
Other long term liabilities	30,864	24,341	24,341	24,341	24,341	Tax rate	26.9%	21.6%	15.0%	20.0%	20.0%
Total liabilities	254,870	238,800	231,496	236,684	241,319	Revenue y/y Growth	(0.1%)	0.1%	44.5%	38.9%	15.7%
Shareholders' equity	346,583	355,666	388,489	436,431	478,837	EBITDA y/y Growth	(8.9%)	13.3%	153.5%	94.0%	5.4%
Minority interests	16,020	16,133	22,909	39,584	68,497	EPS y/y Growth	(47.1%)	35.3%	2249.2%	80.7%	10.6%
Total liabilities & equity	617,473	610,598	642,894	712,699	788,653						
BVPS	43.70	44.85	48.98	55.03	60.38	Valuation					
y/y Growth	(3.8%)	2.6%	9.2%	12.3%	9.7%		FY24A	FY25A	FY26E	FY27E	FY28E
Net debt/(cash)	97,939	126,934	109,647	82,296	19,113	P/E (x)	556.8	411.6	17.5	9.7	8.8
						P/BV (x)	5.4	5.2	4.8	4.3	3.9
						EV/EBITDA (x)	85.3	76.4	30.0	15.4	14.3
						Dividend Yield	0.3%	0.3%	4.0%	7.7%	9.1%

Source: Company reports and J.P. Morgan estimates.

Note: NT\$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

Companies Discussed in This Report (all prices in this report as of market close on 01 September 2026, unless otherwise indicated)

Formosa Chemicals and Fibre Corp(1326.TW/NT\$74.30/OW), Formosa Petrochemical Corp(6505.TW/NT\$76.70/OW), Formosa Plastics Corp(1301.TW/NT\$67.80/OW)

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Nan Ya Plastics Corp (1303.TW, 1303 TT) Price Chart



Date	Rating	Price (NT\$)	Price Target (NT\$)
10-Apr-24	UW	58.60	52.5
13-Jan-25	UW	28.30	24
21-Sep-25	OW	39.25	50
20-Nov-25	OW	53.80	70
14-Jan-26	OW	62.20	80
25-Feb-26	OW	90.80	120
12-Apr-26	OW	81.60	125
21-Jun-26	OW	139.00	200
13-Jul-26	OW	181.50	300

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Oct 02, 2001. All share prices are as of market close on the previous business day.

Formosa Chemicals and Fibre Corp (1326.TW, 1326 TT) Price Chart



Date	Rating	Price (NT\$)	Price Target (NT\$)
10-Apr-24	UW	55.90	52
13-Jan-25	UW	25.30	22
21-Sep-25	UW	29.00	25
25-Feb-26	OW	44.75	55
12-Apr-26	OW	45.45	60
13-Jul-26	OW	60.00	70
27-Jul-26	OW	67.50	80

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Sep 24, 2002. All share prices are as of market close on the previous business day.

Formosa Petrochemical Corp (6505.TW, 6505 TT) Price Chart



Date	Rating	Price (NT\$)	Price Target (NT\$)
13-Jan-25	OW	32.90	40
21-Sep-25	OW	38.90	42
20-Nov-25	OW	53.50	63
25-Feb-26	OW	52.40	60
12-Apr-26	OW	52.00	65
13-Jul-26	OW	58.80	70
27-Jul-26	OW	85.80	100

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Oct 18, 2004. All share prices are as of market close on the previous business day.

Formosa Plastics Corp (1301.TW, 1301 TT) Price Chart



Date	Rating	Price (NT\$)	Price Target (NT\$)
10-Apr-24	N	71.50	79
13-Jan-25	N	31.45	32
21-Sep-25	N	38.40	34
25-Feb-26	OW	48.60	55
12-Apr-26	OW	46.95	60
13-Jul-26	OW	54.80	65
27-Jul-26	OW	62.70	70

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Feb 26, 2001. All share prices are as of market close on the previous business day.

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